CrediTrack CREDIT CARD DEFAULT RISK ANALYSIS

Executive Overview

Overview | Customer Segmentation | Credit Limit Analysis | Repayment Behaviour | Bill & Payment Analysis | Insights & Recommendations

Age: All

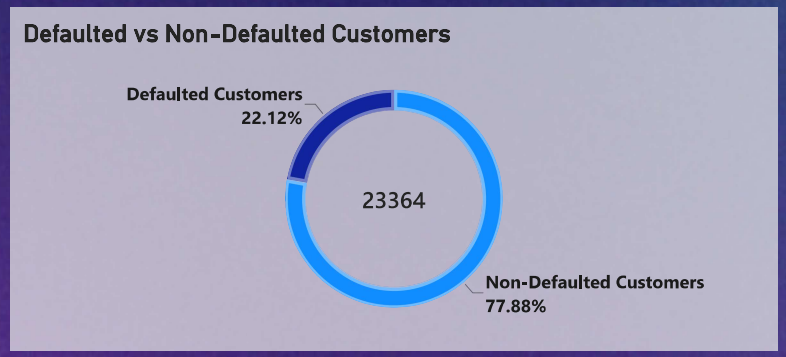
Education: All

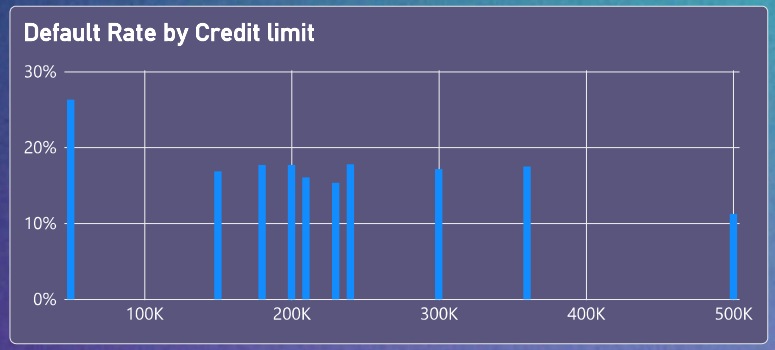
Marital Status: All

Credit Limit: All

Gender: All

Total Customers	Defaulted Customers	Default Rate	Non-Defaulted Customers
30K	7K	22.12%	23K





Key Takeaways:

- **30,000 customers** are included in the analysis.
- **22.12%** defaulted on their next payment.
- Lower credit-limit groups generally showed higher observed default rates.
- Results describe historical patterns, not predictions.

CrediTrack CREDIT CARD DEFAULT RISK ANALYSIS

Customer Segmentation

Overview | **Customer Segmentation** | Credit Limit Analysis | Repayment Behaviour | Bill & Payment Analysis | Insights & Recommendations

Age
All

Education
All

Marital Status
All

Credit Limit
All

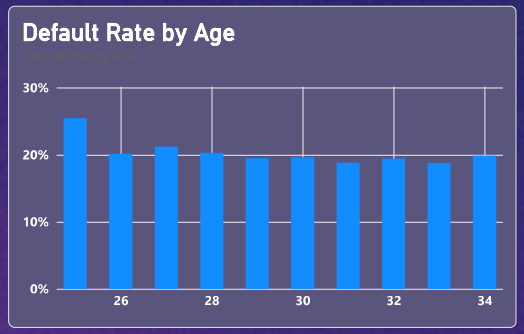
Gender
All

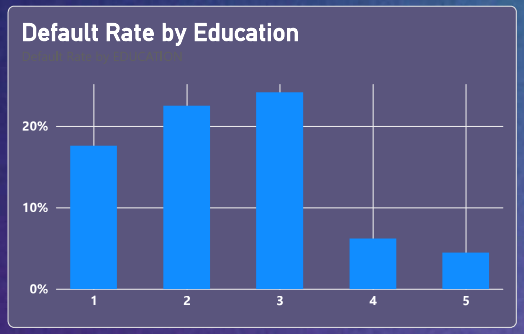
Default Rate (Male)
24.17%

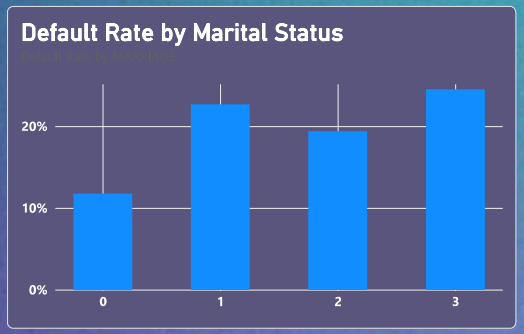
Default Rate (Female)
20.78%

Default Rate (Single)
9.26%

Default Rate (Married)
22.14%







Key Takeaways:

- Default rates were highest among customers aged **55 and above (26.69%)**.
- Education code 3 had a **25.16%** default rate.
- Male customers had a higher observed default rate than female customers.
- Marital status code 3 had the highest rate (**26.01%**).

CrediTrack CREDIT CARD DEFAULT RISK ANALYSIS

Credit Limit Analysis

Overview | Customer Segmentation | Credit Limit Analysis | Repayment Behaviour | Bill & Payment Analysis | Insights & Recommendations

Age: All

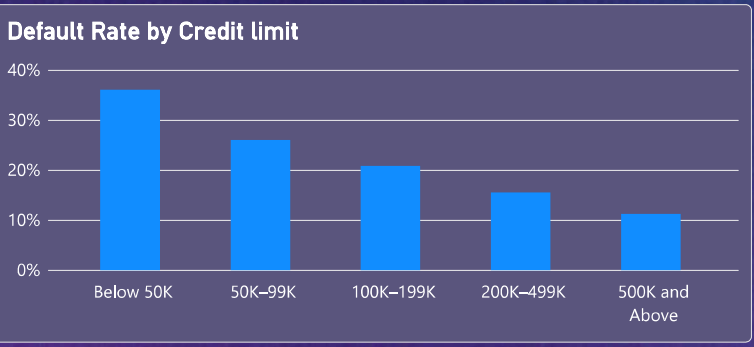
Education: All

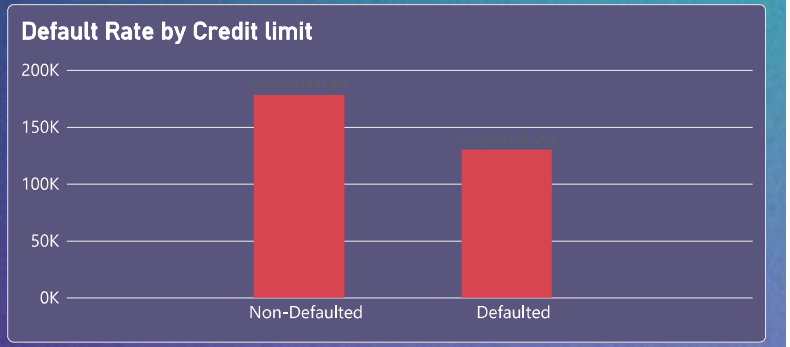
Marital Status: All

Credit Limit: All

Gender: All

Average of LIMIT_BAL	Avg Credit Limit (Defaulted)	Avg Credit Limit (Non-Def...	Default Rate (Lowest Limit)
167.48K	130.11K	178.10K	39.96%





Key Takeaways:

- Customers with credit limits below 50K had a **36.07% observed default rate**.
- Default rates generally decreased as credit-limit ranges increased.
- Defaulted customers had a lower average credit limit (**130.11K vs. 178.10K**).
- Credit limits were associated with default rates, but this does not prove causation.

CrediTrack CREDIT CARD DEFAULT RISK ANALYSIS

Repayment Behaviour

Overview | Customer Segmentation | Credit Limit Analysis | **Repayment Behaviour** | Bill & Payment Analysis | Insights & Recommendations

Age
All

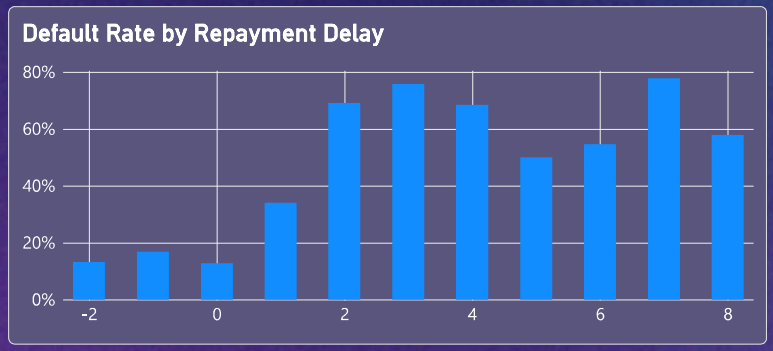
Education
All

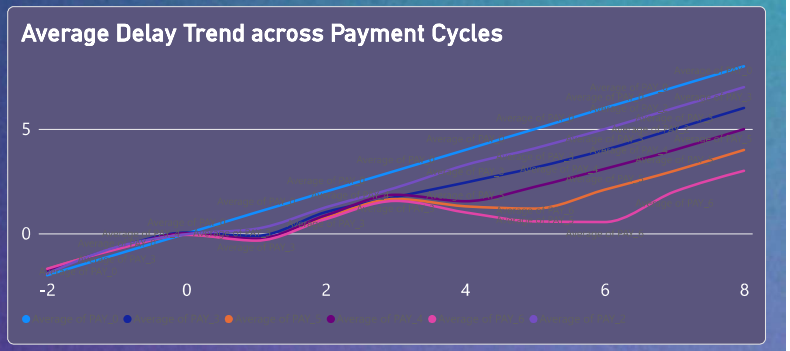
Marital Status
All

Credit Limit
All

Gender
All

Avg_Delay_Defaulters	Avg_Delay_NonDefaulters	Default_Rate_OnTime	Default_Rate_Severe
0.67	-0.21	14%	70%





Key Takeaways:

- Customers with severe repayment delays had a **~70% observed default rate**.
- On-time payers had a much lower observed default rate of **~14%**.
- Positive repayment delays were strongly associated with higher default rates.
- Repayment behaviour may be a useful indicator for identifying accounts needing review.

CrediTrack CREDIT CARD DEFAULT RISK ANALYSIS

Bill & Payment Analysis

Overview | Customer Segmentation | Credit Limit Analysis | Repayment Behaviour | Bill & Payment Analysis | Insights & Recommendations

Age: All

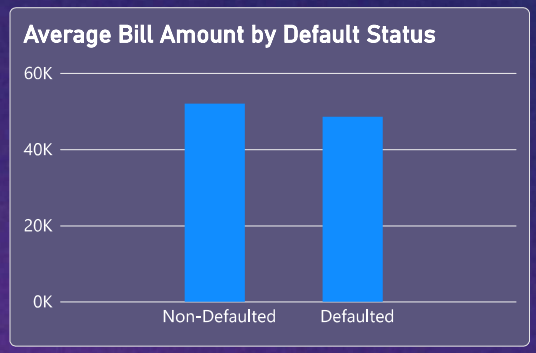
Education: All

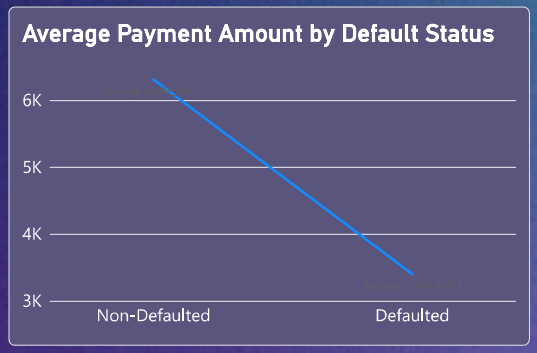
Marital Status: All

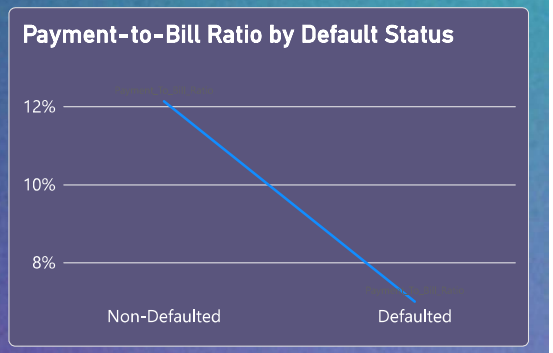
Credit Limit: All

Gender: All

Avg_Bill_Defaulted	Avg_Bill_NonDefaulted	Avg_Pay_Defaulted	Avg_Pay_NonDefaulted
48.51K	51.99K	3.40K	6.31K







Key Takeaways:

- Defaulted customers had slightly lower average bill amounts.
- Non-defaulted customers made nearly **2× higher average payments** (6.31K vs. 3.40K).
- Non-defaulted customers had a higher payment-to-bill ratio.
- Lower payment-to-bill ratios were associated with higher observed default rates.

CrediTrack CREDIT CARD DEFAULT RISK ANALYSIS

Insights & Recommendations

Overview | Customer Segmentation | Credit Limit Analysis | Repayment Behaviour | Bill & Payment Analysis | Insights & Recommendations

Age: All

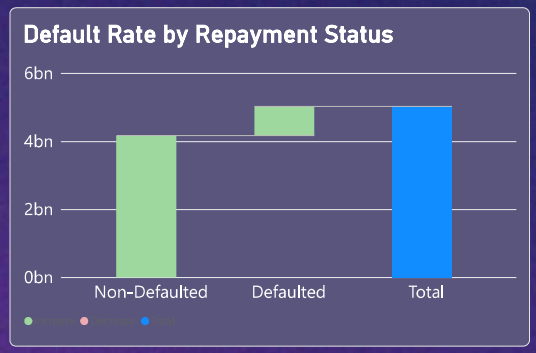
Education: All

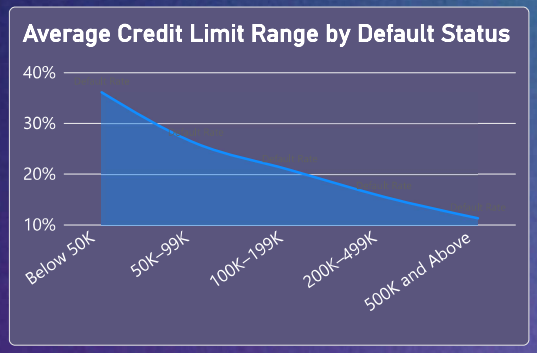
Marital Status: All

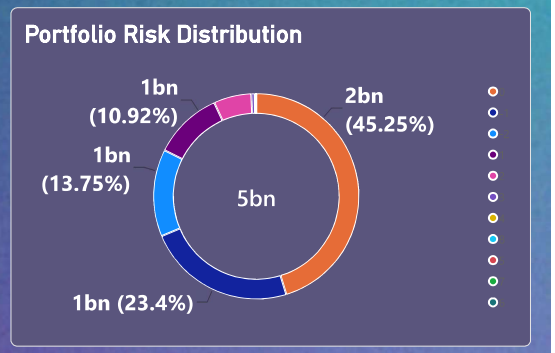
Credit Limit: All

Gender: All

Total_Portfolio_Exposure	Total_Defaulters	Portfolio_Default_Rate	High_Risk_Exposure
$5.02bn	7K	22.12%	$335.846M







Executive Insights & Business Recommendations:

- **Early Warning:** Review accounts when repayment delays begin and send timely payment reminders.
- **Risk Monitoring:** Prioritize reviewing accounts with severe repayment delays; validate the reported $335.846M figure before using it for decisions.
- **Credit Limit Review:** Monitor the below-50K credit-limit group, which had a 36.07% observed default rate.
- **Repayment Behaviour:** Track payment-to-bill ratios of 10% or less and review accounts when low ratios persist.